progress towards greater powers—the RBI was seen as the means of retaining London's control over India's monetary affairs. According to a Treasury official, the manner in which the RBI Board was to be constituted was meant to ensure that it would be 'white and sensible' and not 'black and political'. He also hoped that even its officers would for a long time to come, (be) men other than Indians.[6]

Ever the pragmatist Purshotamdas realized that it was impossible to have financial swaraj before political swaraj and that the ultimate solution lay in political independence. Despite the public posturing on the part of the government, which projected the RBI as an institution which would help deepen the Indian financial system, the establishment of the RBI in 1935 owed its commencement to Whitehall's fears of political changes which seemed inevitable and imminent. Balachandran observes that the RBI was essential to safeguard Britain's financial interests and as 'a necessary condition for devolving greater powers to the government of India, and as the means of retaining London's control over the colony's monetary affairs in the new dispensation.'[7]

Montagu Norman, the Governor of the Bank of England, wanted the RBI to be in a position to stand up to a future government dominated by Indians but was very clear that such independence did not apply to its relations with the Bank of England. He sought as he put it 'a Hindoo marriage' between the two banks where the RBI was to yield to the Bank of England the right to determine the disposition of its funds, and generally cooperate with it in the management of sterling.[8] There is enough evidence to show that even as the RBI was in the process of being ushered in steps were being taken to ensure that the new institution would subserve British interests, and measures were being adopted to rein it in. That the bank was to be kept free of political influence really meant free of nationalist influence and the Secretary of State was not to be relieved of his responsibility 'in respect of the sound handling of Indian finance as a whole.'[9]

Norman was also concerned about how he would control the investment behaviour of an Indian central bank whose investible funds would only grow with financial deepening. He confided in Sir Osborne Smith, the then Managing Governor of the Imperial Bank, and the man he had in mind as the first Governor of the RBI when it came into existence, that the RBI held dangers for the London market and spoke of the need to build up 'a close